

ADVANCE TAXATION II (ACC 414)

PETROLEUM PROFIT TAX SYSTEM

INTRODUCTION

In 1908, a German Company called “The Nigerian Bitumen Company” began the search for crude oil in Nigeria. The license granted was for exploration of Petroleum at Araromi in the present day Ondo State. The outbreak of the First World War in 1914 brought a halt to this adventure. The Company did not resume operations after the war because of the discouraging results during its operating period. In 1937, Shell D’Arcy was granted exploration licenses to cover the entire Nation. This adventure again was suspended at the outbreak of the Second World War in 1941 only to resume later in 1946. It was the amalgamation of Shell D’Arcy and British Petroleum (BP) that gave rise to Shell Petroleum Development Nigeria Limited which eventually discovered oil in commercial quantity after a decade i.e 1956 at Oloibiri in the present day Niger Delta area of the country. The first oil field began production in 1958. Oil was discovered later in other areas of both Rivers and Bayelsa States

The Shell BP, an Anglo/Dutch Company initially had the monopoly of oil prospecting in Nigeria, but was later joined by other oil companies like Mobil, Texaco Overseas, Agip and Gulf.

Petroleum activities are grouped under two categories, **Upstream** and **Downstream**.

- ❖ **Upstream Activities**: These activities are related to the acquisition of licenses, exploration, development and production of crude oil and gas; treatment of oil and processing of gas as well as transportation and delivery to export terminals, refineries or other processing plants. These activities are taxed under the Petroleum Profits Tax, Act Cap P13 LFN 2004. This Act was first enacted in 1959; with retrospective effective date of 1st January 1958.
- ❖ **Downstream Activities**: As defined by Nigerian Accounting Standard Board (Now Financial Reporting Council) they are those activities that take place from receipt of crude oil into crude oil tanks or gas into petro chemical tanks to the transportation of refined products to the final user or of processed products to secondary industries. These activities encompass transporting, refining, liquefaction of natural gas, distributing and marketing of refined petroleum products, gas and derivatives. Companies engaged in downstream operations are subject to tax under the Companies Income Tax Act Cap C21 LFN 2004 – These include marketing companies, independent marketers and servicing companies.

The Regulatory Agencies in the Oil and Gas Sectors include the following:

a) Nigerian National Petroleum Corporation (NNPC)

This was established by Act No 33 of 1st April 1977. NNPC is the sole authority over the Petroleum Activities in Nigeria. NNPC through its subsidiaries is involved in exploration, production, transportation, processing of oil, refining, marketing of crude oil and derivatives.

b) FIRS – The powers and duties of the FIRS with respect to the administration of Petroleum Profit Tax Act Cap P13 LFN 2004 are stated under Section 3 of the Act. The schedule specifically highlighted the powers and duties that cannot be delegated by the

FIRS under Sections 3(b), (d) and (e); 6(2); 10(1)(k); 13(3)(c); 15, 31(2); 33(1); 37(1); 49,52, 53 and 58 of the Act.

- c) **Department of Petroleum Resources (DPR)** – This is the arm of the Ministry of Petroleum Resources that is charged with the responsibility of regulation and supervision of all operations under license and leases in the Oil and Gas Industries which includes exploration, production and marketing of crude oil and refined petroleum products.
- d) **Subsidiaries of Nigeria National Petroleum Company:**
 - i. National Petroleum Investment Management Services (NAPIMS) – This is the investment arm of NNPC which administers NNPC share of Joint Venture Operations.
 - ii. The Petroleum Products Marketing Companies (PPMC) – These companies have the responsibility of selling refined petroleum and finished products which include gasoline, diesel, engine oil grease and other derivatives.
 - iii. Nigerian Petroleum Development Company (NPDC). This is the arm of NNPC that is engaged in the following Areas
 - Exploration – Seismic acquisition/processing – analysis, exploratory, drilling and testing
 - Appraisal –Drilling of appraisal wells, re-evaluation survey testing
 - Development – Drilling/Development of wells, production, optimization, well engineering and field survey
 - Production - Intervention and stimulation of production optimization
 - Abandonment – Environmental impact assessment (EIA) effluent monitoring, testing/facilities demobilization, remediation and decommissioning.
 - NPDC has Joint Partners e.g. Shell Petroleum Development Company and Chevron Nigeria Limited (SPDC and CNL) and Service Contract Partners
 - iv. The Nigerian Petrochemical Companies in Kaduna and Warri.
 - v. The Refineries (2 in Port Harcourt) one each in Warri and Kaduna.
- e) The Central Bank of Nigeria
Sale of crude oil is paid for in foreign currency into Federal Government Designated bank overseas: The proceed is then transferred into the Federation Account in the Central Bank of Nigeria and Federal Inland Revenue Service is notified through payment advice.
- f) Marginal Fields Operators
Marginal Fields are fields discovered by large International Oil Companies or NNPC and which as a result of other investment options were not developed or relinquished. They represent investment potential for small companies with workable operations. Such fields hold an estimate of 2 billion barrels per day.

DEFINITIONS AS GIVEN IN PPTA

All terms relate to companies engaged in petroleum operations.

Accounting period

- a. This is a period of one year commencing on 1st January and ending on 31st December of the same year; or
- b. Any shorter period commencing on the day the company first makes a sale or bulk disposal of chargeable oil under a programme of continuous production and sales, domestic, export or both, and ending on 31st December of the same year, or
- c. Any period of less than a year being a period commencing on 1st January of any year and ending on the date in the same year, when the company ceases to be engaged in petroleum operations.

Revenue Service

The Federal Inland Revenue Service.

Casinghead petroleum spirit

Any liquid hydrocarbons obtained in Nigeria from natural gas by separation or by any chemical or physical process but before the same has been refined or otherwise treated.

Casinghead petroleum spirit is further subdivided into two, namely:

(a) Chargeable natural gas

Natural gas actually delivered by a company to the Nigerian National Petroleum Corporation under a Gas Sales contract but does not include natural gas taken by or on behalf of the Government of the Federation.

(b) Chargeable oil

Casinghead petroleum spirit and crude oil won or obtained by a company from petroleum operations.

Company

Anybody corporate incorporated under any law in force in Nigeria or elsewhere.

Crude oil

Any oil (other than oil extracted by destructive distillation from coal, bituminous shales, or other stratified deposits) won in Nigeria, either in its natural state or after the extraction of water, sand or other foreign substance therefrom but before any such oil is refined or otherwise treated.

Disposal or disposed of

In relation to chargeable oil owned by a company, disposal or disposed of connotes respectively:

- (a) Delivery, without sale, of chargeable oil to; and
- (b) Chargeable oil delivered, without sale to, a refinery or to an adjacent storage tank for refining by the company.

G-Factor

Gas production cost adjustment factor.

High Court

The High Court in Nigeria within whose jurisdiction is the place:

- (a) In relation to any offence under the PPT Act, where such offence is deemed to have occurred;

- (b) In relation to any suit for tax or appeal against an assessment of tax where the tax return has been submitted or where the assessment of the tax was made as the case may be;
- (c) In relation to where the Revenue Service directs a company to keep proper books of accounts, in accordance with the relevant provisions of the Act, from where the direction was issued; and
- (d) In relation to any claim or other matter which is subject to appeal in like manner as an assessment, where the claim or other matter was refused by the Revenue Service.

Intangible drilling costs

All expenditure for labour, fuel, repairs, maintenance, hauling, and supplies and materials (not being supplies and materials for well cement, casing or other well fixtures) which are for or incidental to drilling, cleaning, deepening or completing wells or the preparation thereof incurred in respect of:

- (a) Determination of well locations, geological studies and topographical and geophysical surveys preparatory to drilling;
- (b) Drilling, shooting, testing and cleaning wells;
- (c) Cleaning, draining and leveling land, road-building and the laying of foundations;
- (d) Erection of rigs and tankage assembly and installation of pipelines and other plant and equipment required in the preparation of drilling of wells producing petroleum.

Liquefied natural gas

Natural gas in its liquid state at approximately atmospheric pressure.

Minister

Minister charged with responsibility for matters relating to taxes on incomes and profits.

MMcf

One million cubic feet

Natural gas

Gas obtained in Nigeria from bore holes and wells consisting primarily of hydrocarbons.

Nigeria

Includes the submarine areas beneath the territorial waters of Nigeria and the submarine areas beneath any other waters which are or at any time shall in respect of mines and minerals become subject to the legislative competence of the National Assembly.

Non-productive rents

The amount of any rent for which there is provision for its deduction from the amount of any royalties under an oil prospecting licence or oil mining lease, to the extent that such rent is not so deducted.

Oil Mining Lease

A lease granted to a company under the Minerals Act, for the purpose of winning petroleum, or any assignment of such lease.

Oil Prospecting Licence

A licence granted to a company under the Minerals Act, for the purpose of winning petroleum, or any assignment of such licence.

Person

Includes a company and any unincorporated body of persons.

Petroleum

Any mineral oil or relative hydrocarbon and natural gas existing in its natural condition in Nigeria, but does not include liquefied natural gas, coal, bituminous shales or other stratified deposits from which oil can be extracted by destructive distillation.

Petroleum Operations

The winning or obtaining and transportation of petroleum or chargeable oil in Nigeria by or on behalf of a company for its own account by any drilling, mining, extracting or other like operations or process, not including refining at a refinery, in the course of a business carried on by the company engaged in such operations, and all operations incidental thereto and any sale of or any disposal of chargeable oil by or on behalf of the company.

Resident in Nigeria

In relation to a company, this means a company, the control and management of the business of which are exercised in Nigeria.

Royalties

(a) The amount of any rent for which there is provision for its deduction from the amount of any royalties under an oil prospecting licence or oil mining lease to the extent that such rent is so deducted; and

(b) The amount of any royalties' payable under any such licence or lease less any such rent deducted from those royalties. Bituminous shales or other stratified deposits from which oil can be extracted by destructive distillation.

Concession

This includes an oil exploration licence, an oil prospecting licence, an oil mining lease, any right, title or interest in or to petroleum oil in the ground and any option of acquiring any such right, title or interest;

Lease

This includes an agreement for a lease where the term to be covered by the lease has begun, any tenancy and any agreement for the letting or hiring out of an asset, but does not include a mortgage, and all cognate expressions including "leasehold interest" shall be construed accordingly.

NATURE AND CLASSIFICATION OF COSTS

An important taxation principle is that for a business expense to be an allowable deduction, it must have been incurred in the production of the income that is being subject to the tax. For example: "..... for the purpose of ascertaining the profit or loss of any company of any period from any source chargeable with tax under the Act, there shall be deducted all expenses for that period by that company wholly, exclusively, necessarily and reasonably incurred in the production of those profits" (Section 24 Companies Income Tax Act CAP C21 LFN 2004). The relevant part in PPTA is Section 9. The comparable condition stated in this Section for the allowability of expenses for tax purposes is that such must be incurred for the purpose of its petroleum operations. Note that there was no specification that it must be incurred "in the production of the income or profits."

The nature of petroleum operations business necessarily requires that certain expenses have to be incurred for the business that could not be tied directly to the income produced. It is clear that such would have been incurred for the petroleum operations albeit have not produced income/profits. The fact that they have not produced income is recognized in PPTA as

insufficient ground to disallow them in PPT computations. The expense headings in this category are:

- (a) Outgoings on unproductive leases (Section 10 deductible or if capitalized, capital allowances will be claimed in accordance with the provisions of the Second Schedule);
- (b) Non-productive rents – Section 10 deductible;
- (c) Tangible costs directly incurred in connection with drilling and appraisal of development well. (Section 10 deductible or capital allowances granted in accordance with the provisions of the Second Schedule);
- (d) Exploration and drilling costs, including costs relating to the drilling of the first two appraisal wells in a particular field. (Section 10 deductible or capital allowance granted in accordance with the provisions of the Second Schedule);
- (e) All sums by way of duty, customs and excise duties, stamp duties, education tax, (amendment in Act No. 18 of 1998 included education tax with effect from 1/1/96), tax (other than PPT) or any other rate, fee or other like charges Section 10 deductible;
- (f) All sums by way of customs or excise duty or other-like charges levied in respect of machinery, equipment and other goods used in the company's petroleum operations. Section 10 deductible; and
- (g) All sums incurred by way of interest on any inter-company loans obtained under terms prevailing in the open market, that is, the London Inter- Bank Offer Rate. Section 10 deductible.

Classification of Costs

The following are the classifications of costs in the upstream sector of the petroleum producing industry:

- (a) Mineral rights acquisition costs;
- (b) Exploration and drilling costs;
- (c) Development costs;
- (d) Production costs;
- (e) Support equipment and facilities costs;
- (f) General costs.

Mineral Rights Acquisition Costs.

Mineral rights acquisition costs are incurred in acquiring concession rights in a lease area. They include signature bonus (initial consideration paid by the lessee to the lessor), legal fees, local statutory land acquisition fees/levies, reserves value fees, etc. Acquisition costs may relate to prove or unproved properties. Costs incurred to purchase, lease, or otherwise acquire an item (whether proved or unproved) are initially capitalized when incurred. They include the costs of: Oil Prospecting License (OPL); (to search for oil)

Oil Exploration License (OEL); (to explore for petroleum)

Oil Mining Lease (OML); (to win, work, carry away and dispose of petroleum)

Bonuses and options to purchase or lease properties;

Minerals, including mineral rights purchased; and
Recording fees, legal and other costs incurred in acquiring properties

Pre-license costs are those incurred in the period, prior to the acquisition of a legal right to explore for oil and gas in a particular location. Such costs include those incurred on the acquisition of speculative seismic data and expenditure on the subsequent geological and geophysical analysis of the data.

Exploration and Drilling Costs.

Exploration and Appraisal costs are incurred in the search for oil and gas deposits after obtaining a license, but before a decision is taken to develop a reservoir.

Exploration and drilling involve:

- (a) Identifying areas that may warrant evaluation; and
- (b) Evaluating specific areas that are considered to have petroleum prospects largely through the drilling of exploratory wells.

Exploration costs may be incurred both before obtaining concessions (sometimes, referred to in part as pre-licence costs) and after acquiring concession.

Principal types of exploration costs, which include depreciation and applicable operating costs of support equipment and facilities and other costs of exploration activities, are:

- (a) Costs of geological and geophysical studies, rights of access to properties to conduct those studies, and salaries and other expenses of geologists, geophysical crews, and others conducting those studies;
- (b) Costs of carrying and retaining undeveloped properties, such as rentals, legal costs for title deeds, stamp duties, and the maintenance of lease records;
- (c) Dry hole contributions and bottom hole contributions;
- (d) Costs of drilling and equipping exploratory wells; and
- (e) Other associated costs such as re-settlement of local communities, compensation for economic crops, surface rights and road building. Exploration costs include appraisal costs which are incurred, to determine the size and characteristics of a reservoir discovered, in order to assess its commercial potentials. The costs of drilling exploratory wells are usually capitalized as part of the company's uncompleted wells, equipment and facilities pending determination of whether the well has proved reserves.

Development Costs

Development costs are incurred to obtain access to prove reserves and provide facilities for extracting, gathering, treating, and storing the oil and gas. These costs are incurred after a decision has been taken to develop a field or reservoir, and include the following

- (a) Drilling, equipping and testing development and production wells;
- (b) Production platforms, down hole and wellhead equipment, pipelines, production and initial treatment and storage facilities as well as utility and waste disposal systems; and
- (c) Improved recovery systems and equipment

Development costs are usually capitalized as part of the costs of a company's wells and related equipment and facilities. Thus, all costs incurred to drill and equip development wells and service wells are development costs and are capitalized whether the well is successful or unsuccessful. Costs of drilling those wells and costs of constructing equipment and facilities are usually included in the company's uncompleted wells, equipment and facilities until drilling or construction is completed.

Production Costs

Production costs are the recurrent costs incurred in oil and gas production activities. Production involves lifting the oil and gas to the surface, gathering, treating, field processing and storage. Production costs are usually determined to be all costs incurred from the maintenance of the wells and well heads to the storage facilities when the oil and gas are ready for export or delivery to a refinery. Production costs are those incurred to operate and maintain a company's wells and related equipment and facilities, including depreciation, depletion and applicable operating costs of support equipment and facilities. Examples of production costs are

- a) Costs of personnel engaged in the operation of wells and related equipment and facilities;
- b) Repairs and maintenance of production facilities;
- c) Materials, supplies, fuel consumed and services utilized in such operations; and
- d) Royalties.

Support Equipment and Facilities Costs.

Costs incurred on support equipment and facilities in oil and gas producing activities, such as vehicles, repair shops, warehouses, supply points, camps, and divisional, district or field offices, aircraft and helicopters, safety and environmental facilities are usually accumulated and reallocated to the classes of costs identified above on some rational basis. For example, use of vehicles may be reallocated on kilometres, use of power house on the basis of wattage reading, and so on.

General Costs

Some costs incurred in a company's oil and gas producing activities do not always result in acquisition of an asset and therefore are usually charged to expense. Examples include geological and geophysical costs, the costs of carrying and retaining undeveloped properties, and the cost of drilling those exploratory wells that do not result in proved reserves.

The costs of a company's wells and related equipment and facilities and the costs of the related proved properties are usually amortised as the related oil and gas reserves are produced from the reserves. Depreciation, depletion, and amortization of capitalised acquisition, exploration, and development costs also become part of the cost of oil and gas produced along with production (lifting) costs identified above.

Oil companies incur substantial costs in providing amenities for the communities where they operate. Such costs which do not have future benefits to the company are usually expensed. Oil companies also incur costs on such matters as corporate affairs, staff training and development

ASCERTAINMENT OF ADJUSTED PROFITS AND IMPOSITION OF TAX

Imposition

Section 8 of the PPTA levies tax on the profits of each accounting period of any company engaged in petroleum operations. Particular note should be taken of the fact that the basis period for any assessment year is the same as the accounting period of the company, that is the assessment is on current year basis. For example, assessment for the 1998 assessment year of a company that has been engaged in petroleum operations for several years will be based on the result of the accounting period of the company commencing from 1 January, 1998 and ending on 31 December, 1998. This is a major departure from the preceding year rule that is applicable in the taxation of individuals (under Personal Income Tax Act) and companies not engaged in petroleum operations (taxable under Companies Income Tax Act).

The profits of a company for an accounting period are computed as the aggregate of the following:

- (a) The proceeds of sale of all chargeable oil sold;
 - (b) The value of chargeable oil disposed of;
 - (c) The value of all chargeable natural gas; and
 - (d) All income incidental to and arising from one or more of its petroleum operations.
- In respect of (b) above, the value to be used shall be the aggregate of:
- (i) Value of the chargeable oil as determined for royalty purposes;
 - (ii) The cost of extraction of that oil deducted in determining its value; and
 - (iii) Any cost incurred by the company in transportation and storage of that oil between the field of production and the place of its disposal.

Adjusted Profit

The adjusted profit of an accounting period shall be the profits of that period after the deductions of allowable expenses and any adjustments necessary to exclude the profit or loss attributable to transportation operations which is assessable under Companies Income Tax Act (CITA). The transportation operations referred to here exclude the transportation between the field of production and the place of disposal of oil as referred to in the immediately preceding paragraph.

Where a company engaged in petroleum operations is also involved in the transportation of chargeable oil by ocean going oil-tankers operated by or on behalf of the company from Nigeria to another territory, any profit or loss attributable to such transportation shall be excluded in computing the adjusted profits of the company from its petroleum operations (PPTA Section 14). The profit or loss so excluded shall be taxable under CITA as it is not to be taxed under PPTA. Similar treatment is applicable in respect of the profit or loss accruing to the company which is neither from the petroleum operations source nor incidental thereto. The result accruing to a company that carries out the business of refining of crude oil and all other businesses that are not incidental to petroleum operations is taxable under CITA

Assessable profit (Section 14)

The assessable profit shall be the adjusted profit of the period after adjusting for Education Tax (Tertiary Education Tax) and the effect of any loss relief available to the company.

Chargeable profits (Section 20)

The chargeable profits shall be the assessable profits, less capital allowances.

For this purpose the amount of capital allowances to be deducted is to be restricted to the lower of:

- (a) the amount computed; or
- (b) a sum equal to eighty-five percent of the assessable profits of the accounting period, less one hundred and seventy percent of the total amount of the deductions allowed as investment tax credit or petroleum investment allowance computed under the second schedule for that period. (Investment Tax Credit if the computation is for a company operating a Production Sharing Contract as provided in the Deep Offshore and Inland Basin Production Sharing Contract Decree 9 of 1999 and petroleum investment allowance in other cases.)

This restriction is in order to ensure that the tax chargeable on the company is not less than fifteen percent of the tax that would have been chargeable had no deduction been made for capital allowances (Subsection 3 of Section 18).

Capital allowances that cannot be utilised due to this restriction are to be carried forward to be aggregated with the capital allowances computed for the following accounting periods and subjected to similar restriction in each of those accounting periods.

From the foregoing, the relationship between the terms profits, adjusted profit, assessable profit and chargeable profit can be stated as follows;

Profits for the period	xx
Deduct: allowable expenditures (Section 10) (after necessary adjustment to eliminate transportation operations expenses included)	(x)
Adjusted profit	xx
Less: loss relief (Section 14).	(x)
 Assessable profit	 xx
Deduct: Education Tax	(x)
Deduct: capital allowances (as restricted) (Section 15).	(x)
Chargeable profit	xx

~~ALLOWABLE AND NON-ALLOWABLE DEDUCTIONS~~

ALLOWABLE DEDUCTIONS (Section 10)

All outgoings and expenses wholly, exclusively and necessarily incurred, whether within or outside Nigeria, for the purpose of petroleum operations shall be deductible in computing the adjusted profit for any accounting period. Any outgoing or expense that falls under this definition is an allowable deduction irrespective of whether or not such is specifically listed in Section 10 of the Act.

The following are specifically listed as allowable deductions in Section 10 of the Act.

- a) Rents in respect of land or buildings occupied under oil prospecting license or an oil mining lease for disturbance of surface rights or for any other similar disturbance:
 - (i) All non-productive rents.

- (ii) All royalties in respect of natural gas sold and actually delivered to the Nigerian National Petroleum Corporation (NNPC), or sold to any other buyer or customer or disposed of in any other commercial manner.
- b) All royalties, the liability for which was incurred by the company during that period in respect of crude oil or of casing head petroleum spirit won in Nigeria. (Prior to 1995, only royalties in respect of exported crude oil were treated as allowable deductions, while that relating to local sales were tax offsets).
 - (i) All sums by way of customs or excise duty or other-like charges levied in respect of machinery, equipment and other goods used in the company's petroleum operations.
- c)
 - (i) Interest on money borrowed where the Revenue Service is satisfied that the interest was payable on the capital employed in carrying on petroleum operations.
 - (ii) All sums incurred by way of interest on any inter-company loans obtained under terms prevailing in the open market, that is, the London Inter- Bank Offer Rate.
- d) Repairs and or renewals of premises, plant, machinery, implements, utensils, fixtures or articles employed for the purpose of carrying on petroleum operations.
- e) Bad and doubtful debts proved to the satisfaction of the Revenue Service to have become bad or doubtful during the accounting period. The treatment is the same as in normal taxation practice.
- f)
 - (i) Any other expenditure, including tangible costs directly incurred in connection with drilling and appraisal of development well, but excluding an expenditure which is qualifying expenditure for capital allowance purposes and any expense or deduction in respect of a liability which is deductible under any other provision of this Section;
 - (ii) Exploration and drilling costs including costs relating to the drilling of the first two appraisal wells in a particular field, including expenditure in respect of cement, casing and well fixtures; and
 - (iii) Where a deduction may be given under this Section in respect of any such expenditure, that expenditure shall not be treated as qualifying drilling expenditure for the purpose of the Second Schedule.
- g) Contribution to approved pension, provident, or other society, scheme or fund.
- h) All sums by way of duty, customs and excise duties, stamp duties, education tax, (amendment in Decree No. 18 of 1998 included education tax with effect from 1/1/96) tax (other than PPT) or any other rate, fee or other like charges.
- i) Such other deductions as may be prescribed by any rule made under the Act.

Disallowable expenditure (Section 11)

Disallowable expenditure (Section 13) Section 13, subsection 1, of the PPTA states the items that are specifically disallowed from being deducted in arriving at the adjusted profit of an accounting period. These are:

- (a) Any disbursements or expenses not wholly and exclusively paid out or expended, or not wholly or exclusively incurred for petroleum operations purposes.
- (b) Any capital withdrawn or any sum employed or intended to be employed as capital.

- (c) Any capital employed in improvements as distinct from repairs.
- (d) Sums recoverable under an insurance or contract of indemnity.
- (e) Rent of or cost of repairs to any premises or part of premises not incurred for petroleum operations.
- (f) Amounts incurred as income tax, profits tax or other similar tax whether charged within Nigeria or elsewhere.
- (g) Depreciation of any kind.
- (h) Payment to unapproved provident, savings, widows' and orphans or other society, scheme or fund.
- (i) Any custom duty on goods (including articles or any other thing) imported by the company:
 - (i) For resale or for personal consumption of employees of the company, or
 - (ii) Where goods of the same quality to those so imported are produced in Nigeria and are available, at the time the imported goods were ordered by the company for sale to the public at prices less or equivalent to the cost to the company of the imported goods
- (j) Expenditure for the purchase of information relating to the existence and extent of petroleum deposits

CAPITAL ALLOWANCES

Qualifying Expenditure

Qualifying expenditure means capital incurred in an accounting period, which is:

- (a) Incurred on plant, machinery or fixtures –“qualifying plant expenditure”
- (b) Incurred on pipelines and storage tanks –“qualifying pipelines and storage expenditure”
- (c) Incurred on the construction of buildings, structure or works of a permanent nature –“qualifying building expenditure”
- (d) “qualifying drilling expenditure” –incurred in
 - i. The acquisition of or rights in or over, petroleum deposits.
 - ii. Searching for or discovering and testing petroleum deposits, or winning access thereto, or
 - iii. The construction of any works or buildings which are likely to be of little or no value when the petroleum operations for which they were constructed ceased to be carried on.

Any sum that can be treated as an allowable expense in accordance with the provision of section 10 of the act cannot be treated as qualifying capital expenditure. Qualifying capital expenditure cannot be classified into more than one of the four headings above.

Where qualifying expenditure is incurred by a company before its first accounting period, such shall be deemed to be incurred by it on the first day of its accounting period.

Where the expenditure is incurred in respect of an asset which has been disposed of by the company before the beginning of its first accounting period, then any loss suffered by the company on the disposal of such asset shall be deemed to be qualifying drilling expenditure

incurred by the company on that day, and be deemed to have brought into existence an asset owned by the company in use for the purposes of petroleum operations carried on by the company.

ALLOWANCES

The allowances are granted at varying rates on the cost of the assets. Before an allowance can be granted, the following conditions must be met:

- i. The capital expenditure must be a qualifying expenditure;
- ii. The qualifying expenditure must be wholly, necessarily and exclusively used for the purposes of petroleum operations carried on by the company; and
- iii. The asset must be owned and used for petroleum operations at the end of the particular accounting period.

An asset is deemed to be in use during a period of temporary disuse. Fixed assets acquired in an accounting period but put to use in a subsequent accounting period may qualify for capital allowances in the accounting period of purchase.

Petroleum Investment Allowance

It is similar to investment allowance under CITA since it is not taken into account in arriving at the residue of an asset. It was termed Investment Tax Credit prior to the 1999 amendment. With the 1999 amendment, Investment Tax Credit is retained for companies that operate under the Deep Offshore and Inland Basin Production Sharing Contracts Act, 1999, while all others are entitled to Petroleum Investment Allowance. Petroleum Investment Allowance is granted in the accounting period in which the expenditure is incurred. It is granted only once for any particular asset.

Paragraph 5(2) of Schedule 2 states:

“For the purposes of the Act, the Petroleum Investment Allowance shall be added to the annual allowance computed under paragraph 6 of this Schedule and shall be subject to the same rules under the Act.”

The treatment is now similar to that of investment allowance under CITA. The amount arrived at is to be added to the annual allowance computed under the PPTA and shall be subject to the same rules. It is not to be deducted from qualifying expenditure in arriving at the residue of expenditure.

(Before the 1999 amendment, the amount computed as Investment Tax Credit was a deduction from tax payable and not a charge against income – see the Section on Tax offsets. This term is now applicable only to companies operating under the Production Sharing Contracts cited above).

Annual allowance

This is granted annually on cost until the residue of the item is 1% of the original cost. The intent is that the amount of any qualifying expenditure is amortised over a period of five years in equal amount except the fifth year when 1% of the amount is retained. The rate is therefore

20% of the cost per annum for each of the first four years and 19% for the fifth year. The 1% of the cost of the asset must be retained in the books until the disposal of the item.

Balancing Allowances and Balancing Charges

The calculation of balancing allowance or charge follows normal taxation principles. The residue of qualifying expenditure is compared with the disposal proceeds to arrive at the balancing allowance or charge.

However, in Petroleum Profits Tax, balancing charge is to be treated as other income to form part of the profits of the company, while balancing allowances are aggregated with other capital allowances. Balancing allowance or charge shall also be made only if immediately prior to the disposal, the asset was in use for the purposes of petroleum operations for which the expenditure was incurred.

Residue of qualifying expenditure (Paragraph 10 of Second Schedule)

The residue of qualifying expenditure, in respect of any asset, at any date, is the total qualifying expenditure incurred, less the total of annual allowances granted to that date in respect of the asset (paragraph 10 of the Second Schedule). It should be noted that the amount for Petroleum Investment Allowance is not to be deducted from qualifying expenditure in arriving at the residue.

Relevant Interest

- a) The owner of a building, structure or works, shall be taken to be the owner of the relevant interest in such building, structure or works
- b) The expression “the relevant interest” means, in relation to any expenditure incurred on the construction of a building, structure or works, the interest in such building, structure or works to which the company which incurred such expenditure was entitled when it incurred the expenditure.
- c) Where a company incurs qualifying building expenditure or qualifying drilling expenditure on the construction of a building, structure or works, the company is entitled to two or more interests therein, and one of those interests is an interest which is reversionary on all the others, that interest shall be the relevant interest for the purposes of the Second Schedule.

Sale of Buildings

Where capital expenditure has been incurred on the construction of a building, structure or works and thereafter the relevant interest therein is sold, the company which acquires that interest shall be deemed, except the granting of investment tax credit, to have incurred, on the date when the purchase price became payable, capital expenditure on the construction thereof equal to the price paid by it for such interest or to the original cost of construction, whichever is less:

Provided that:

- (a) Where such relevant interest is sold before the building, structure or works has been used, the foregoing provisions of this paragraph shall have effect with respect to such sale with the omission of the words “except the granting of investment tax credit” and the original cost of construction shall be taken to be the amount of the purchase price on such sale;
- (b) Where any such relevant interest is sold more than once before the building, structure or works is used, the provisions of subparagraph (a) shall have effect only in relation to the last of those sales.

Meaning of “disposed of” (Paragraph 11)

Subject to any express provision to the contrary, for the purposes of this Schedule

- a) a building, structure or works of a permanent nature is disposed of if any of the following events occurs:
 - i. The relevant interest is sold, or
 - ii. That interest, being an interest depending on the duration of a concession, comes to an end on the coming to an end of that concession, or
 - iii. That interest, being a leasehold interest, comes to an end otherwise than on the company entitled thereto acquiring the interest which is reversionary thereon, or
 - iv. The building, structure or works of a permanent nature are demolished or destroyed or, without being demolished or destroyed, cease altogether to be used for the purposes of petroleum operation carried on by the owner thereof;
- b) Plant, machinery or fixtures are disposed of, if they are sold, discarded or cease altogether to be used for the purposes of petroleum operations carried on by the owner thereof;
- c) Assets in respect of which qualifying drilling expenditure is incurred are disposed of, if they are sold or if they cease to be used for the purposes of the petroleum operations of the company incurring the expenditure either on such company ceasing to carry on all such operations or on such company receiving insurance or compensation monies therefore

Capital Allowance Rates

(a) Petroleum Investment Allowance

Qualifying expenditure in respect of

- | | | |
|------|---|-----|
| i. | On shore operations | 5% |
| ii. | Operations in territorial waters and continental shelf areas up to and including 100 metres of water depth | 10% |
| iii. | Operations in territorial waters and continental shelf areas in water depth between 100 metres and 200 metres | 15% |
| iv. | Operations in territorial waters and continental shelf areas beyond 200 metres of water depth | 20% |

Investment Tax Credit

- i. Deep Offshore and Inland Basin Production Sharing Contracts 50%

(b) Annual Allowance

1st year	20%
2nd year	20%
3rd year	20%
4th year	20%
5th year	19%
6th year and after	19%

ASCERTAINMENT OF ASSESSABLE TAX AND CHARGEABLE TAX

Assessable Tax – Rates of Tax

- a) The assessable tax for any accounting period of a company shall be an amount equal to eighty-five percent (85%) of the chargeable profits of that period (Section 21(1)). (This is applicable to crude export sales alone)
- b) Where a company has not yet commenced to make a sale or bulk disposal of chargeable oil under a programme of continuous production and sales as at 1 April 1977, its assessable tax for any accounting period during which it has not fully amortized all pre-production capitalised expenditure due unless the 1% amount to be retained in the book, shall be 65.75% of the chargeable profits for that period.
- c) For local crude sales, the rate applicable is 65.75%. Although this is not in PPTA, it is one of the concessions available to the oil companies through the side letters.
- d) For natural gas sales, the tax rate is 40%. This is also not in PPTA. It is granted in a similar manner to the special rate of 65.75% for crude sold locally.
- e) In respect of companies operating the Deep Offshore and Inland Basin Production Sharing Contracts as contained in Decree 9 of 1999, the applicable rate is 50% of chargeable profits.

Chargeable tax (Section 22)

A new Section 20 introduced in the 1999 amendment is as follows:

- a) A crude oil producing company which executed a Production Sharing Contract with the Nigerian National Petroleum Corporation in 1993 shall, throughout the duration of the Production Sharing Contract, be entitled to claim an investment tax credit as an offset against tax in accordance with the provisions of the Production Sharing Contract.
- b) The investment tax credit rate applicable to the contract area shall be fifty per cent flat rate of chargeable profit for the duration of the Production Sharing Contract.

- c) In computing the tax payable, the investment tax credit shall be applicable in full to petroleum operations in the contract area such that the chargeable tax is the amount of the assessable tax less the investment tax credit.
- d) The chargeable tax computed under subsection (3) of this Section shall be split between the Nigerian National Petroleum Corporation and the crude oil producing company in accordance with the proportion of the percentage of profit oil split.
- e) In this Section ‘contract area’ means the contract area as defined in the

Tax Offsets

In accordance with former Section 17 PPTA, the following shall be deducted from assessable tax to arrive at the chargeable tax:

- (a) Royalties in respect of chargeable oil won and locally disposed of during that period to the extent that those royalties are not deductible under Section 10(1) of the Act in computing the adjusted profit of the company.
- (b) Non-productive rents expenditure.
- (c) Investment tax credit on qualifying expenditure.
- (d) Custom or excise duty or other like charges levied in respect of items essential for use in the company’s petroleum operations.

These were referred to as tax offsets, which were to be set off against the assessable tax computed. With the various amendments to the PPTA and the promulgation of the Deep Offshore and Inland Basin Production Sharing Contracts Decree 1999, all the items above except (c) is now Section 10 tax deductible. They are no longer to be treated as tax offsets.

In respect of item (c), Investment tax credit on qualifying expenditure, this is now only applicable to companies operating under the Deep Offshore and Inland Basin Production Sharing Contracts Decree 1999. It is still to be treated as tax offset in the tax computations of such companies for all Production Sharing Contract signed on or before 1 July 1998. (The Finance Miscellaneous Taxation Provision Decree, Decree 30, 1999, limits Investment Tax Credits to Production Sharing Contract (PSC) signed with NNPC before 1993. This apparent conflict with the relevant provision of the PSC Decree has to be ignored!). However, it is no longer applicable in respect of other petroleum companies that are not operating under the Deep Offshore and Inland Basin Production Sharing Contracts Decree 1999. These companies are entitled to Petroleum Investment Allowance which is treated in the same way as an annual allowance is treated in Petroleum Profits Tax Computations.

MEMORANDUM OF UNDERSTANDING (MOU)

With effect from 1st January, 1986, the Federal Government of Nigeria entered into an agreement with the oil producing companies (Memorandum of Understanding MOU) granting certain incentives for the following objectives:

- a) Enhancing crude oil exports;
- b) Encouraging investments in exploration and development activities;
- c) Encouraging investments in the area of enhanced oil recovery projects;

- d) Encouraging investments in gas utilization projects;
- e) Encouraging increased lifting and sale of NNPC's equity crude;
- f) Effectively reducing the tax impact on companies engaging in petroleum operations.

MOU applies to petroleum companies operating joint ventures with NNPC.

The purpose of the incentive was to guarantee a \$2 per barrel profit margin (after tax and royalty) to the oil company at a notional technical cost of \$2 per barrel over the realisable price range of \$12.50 - \$23 per barrel. Provision was also made in the agreement for certain mechanism to be applied for establishing equitable margin to the oil company for realisable prices less than \$12.50/bbl.

Conditions under which the incentives can be granted and penalties for noncompliance:

The oil companies gave the following undertakings:

- a) To lift crude oil which NNPC is unable to lift out of the NNPC equity share of the joint venture production?
- b) To carry out a work programme mutually agreed upon between NNPC and each of the oil companies; and
- c) When an oil company is unable to lift all or part of the notice volume,

NNPC levies a penalty of 2% of the average realizable price for each barrel not lifted. Such penalty is not allowable as a deduction in the calculation of PPT. Where an oil company has not substantially complied with the specified work programme, a notice is served on the company. If within three months of the service of notice, the condition is not remedied, the incentives cease to apply and PPT is computed on pre- 1986 basis, until the non-compliance has been remedied. Government promised that relevant amendments will be promulgated to reflect all the terms of the Memorandum of Understanding. PPTA is yet to be amended. Nevertheless, the agreement has been amended two times but the objectives and the focus remain the same. The first revision was in 1991 and the latest version being that revised in year 2000 which became effective from 1 January, 2000.

JOINT VENTURE AND PRODUCTION SHARING CONTRACTS

Joint Venture

Joint Venture is a contractual arrangement whereby two or more parties undertake an economic activity which is subject to contractually agreed basis of sharing control.

Companies producing crude oil in Nigeria are not allowed to produce the oil solely on their own. Each company is required to enter into a Joint Venture Agreement with the Nigerian National Petroleum Corporation (NNPC) in respect of the company's operation in a particular oil field. A detailed joint venture operating agreement will be entered into by the parties. The agreement will spell out in detail the rights and obligations of each party with respect to the particular venture.

NNPC will usually take up a majority of the venture while the oil producing company will take up the balance. One of the parties to the venture is given the responsibility to operate the venture, that is, the production of crude oil from the concession that is the subject of the venture. This is the operator. The operator is the party that conducts the operations under a joint venture. This may include the drilling of a well and/or the production of oil from a tract or field under an agreed contract. In all or most of the cases, in spite of NNPC majority shareholding, it is the oil producing company that is appointed as field operator of the joint venture.

Each party to the joint venture is expected to fund its equity share in the venture.

This is done when the operator makes calls for the needed cash (Cash Calls). Each party also lifts crude oil, from the crude oil produced, in proportion to its equity interest in the joint venture. When NNPC is unable to lift all its share of the crude produced, the field operator will under special arrangement with NNPC, lift the balance, sell it and pass the proceeds of sale to NNPC.

Each joint venture agreement will make provision for an Operating Committee to oversee the preparation and approval of budgets and operational plans that would be prepared by the field operator. Each party accounts for and pays its petroleum profits tax liabilities arising from the venture.

Production Sharing Contracts

In Production Sharing Contracts (PSC), the petroleum producing companies enter into agreement with NNPC for the production of crude oil in particular oil fields respectively. The operating expenses for the petroleum operations would be met by each operator. This is a major shift from the terms in Joint Venture Contracts. In case of joint venture, NNPC will fund the operational expenses of the venture in proportion to its share in the joint venture, but in respect of PSC's, the petroleum producing company will fund 100% of the contract. The provision for the reimbursement of costs to the operator in executing the contract will be contained in the PSC. This is usually achieved through the allocation to the operator of a proportion of the oil produced, from which the company is expected to recover its cost of producing the oil and of executing the contract generally.

Oil recovered in the contract area is split into:

- a) Royalty Oil
- b) Cost Oil
- c) Tax Oil
- d) Profit Oil

Business activities under PSC are subject to tax under the Petroleum Profits Tax Act and the Deep Offshore and Inland Basin Production Sharing Contracts Act No 9 of 1999. The Decree requires that the tax computation is done by NNPC or concession holder who will also lift the "Tax Oil", sell same, and pay the Petroleum Profits Tax to the Revenue. This is slightly contradictory to the relevant provision of PPTA. PPTA provides for persons engaged in petroleum operations to prepare tax returns, submit same, and pay the PPT due. The

responsibility for the payment of PPT is clearly stated in PPTA. It is less clear in the Deep Offshore and Inland Basin Production Sharing Contract.

The key provisions of the Deep Offshore and Inland Basin Production Sharing Contracts Act 1999 are:

- a) That the Petroleum Profits applicable to the contract area shall be 50% flat rate of chargeable profits for the duration of the Production Sharing Contracts.
- b) That in respect of any qualifying capital expenditure incurred wholly, exclusively and necessarily for the purposes of the petroleum operations carried out under the terms of a Production Sharing Contract in the Deep Offshore or Inland Basin, there shall be due to the parties-
 - i. In respect of Production Sharing Contracts executed prior to 1 July, 1998, an Investment Tax Credit at a flat rate of 50 per cent of the qualifying expenditure;
 - ii. In respect of Production Sharing Contracts executed after 1 July, 1998 there shall be due to such Parties an Investment Tax Allowance at a flat rate of 50 per cent.
- c) In both cases, royalty is payable as follows:

	Rate
--	------
- d) Computation and payment of estimated and final petroleum profits tax shall be made in US dollars on the basis of the US dollar returns filed.
- (e) The Corporation or the Holder, as the case may be shall pay royalty, concession rentals and petroleum profits tax on behalf of itself and the Contractor out of the allocated royalty oil and tax oil.
- f) Separate tax receipts in the names of the Corporation or the Holder and the Contractor for the respective amounts of the petroleum profits tax paid on behalf of the Corporation or the Holder and Contractor shall be issued by the Federal Inland Revenue Service in accordance with the terms of the Production Sharing Contract.
- (g) The chargeable tax on petroleum operations in the contract area under the Production Sharing Contracts shall be split between the Corporation or the Holder and the Contractor in the same ratio as the split of profit oil as defined in the Production Sharing Contract between them.

COMPUTATION OF PETROLEUM PROFIT TAX

Companies that are engaged in petroleum exploration, development, production and sale of crude oil and gas in the upstream operations are chargeable to tax under PPTA. Those that are engaged in processing the crude oil and gas and marketing of refined crude oil, etc. are in downstream operations. These are chargeable to tax under the provisions of the Companies Income Tax Act.

The provisions of PPTA and MOU apply to petroleum companies operating under joint venture while in respect of companies operating under Production Sharing Contracts, the provisions of PPTA and Deep Offshore and Inland Basin Production Sharing Contracts Act apply. Petroleum profits tax computation will normally take the following pattern:

(a) Ascertain the profits of the accounting period.

This will be the fiscal value of chargeable oil and gas sold plus all income received by the company that are incidental to petroleum operations. If there is no indication to the contrary any income described as miscellaneous income, interest on bank fixed deposit accounts, etc. should normally be regarded as incidental to petroleum operations. In the computation of the fiscal value of chargeable oil sold, with respect to crude oil exported, the higher of the selling price or the posted price will be used; while in case of crude oil sold locally, it is the actual amount realised from the sale that will be used.

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(b) Deduct all Section 10 allowable expenditures having regard to the allowable and disallowable expenditures rules.

The figure arrived at is the adjusted profit.

From the adjusted profit deduct any unrelieved petroleum operations' loss brought forward from previous period to arrive at the assessable profit.

(Remember that there is no time limitation for the relief of losses as the case is in companies chargeable to tax under CITA).

(c) Capital allowances will be deducted (remember to apply the restriction) from the assessable profit to give the chargeable profit.

(d) Apply the PPT rate (presently 85% or 50% in respect of PSC, or 65.75% for local sales or 40% for sale of natural gas) to the chargeable profit to get the assessable tax.

(e) The tax offsets to be deducted in accordance with the provisions of Section 20 from the assessable tax will then be deducted to arrive at the chargeable tax. This will now only apply to companies operating under PSC.

For companies operating under Joint Venture, compute the amount of MOU credit due. This will be deducted from the chargeable tax to arrive at the tax payable. It is usually the chargeable tax that would be paid to the Revenue Service after deducting the total of the amounts paid to date through the monthly installments determined on the basis of the estimated tax for the accounting period.

Withholding tax, if any, suffered by the company is also to be deducted from the chargeable tax to arrive at the tax that will be payable. Remember, withholding tax is an advance payment on account of the tax that will be due for payment by each company.

The presentation of a PPT computation would appear thus:

XYZ PETROLEUM LIMITED

2008 PETROLEUM PROFITS TAX COMPUTATION

	N'million
Fiscal value of chargeable oil	xxx
Add: Other income incidental to petroleum operations	<u>xxx</u>
Profit of the accounting period	xxx
Less: Allowable deductions	(xxx)
Adjusted profit of the accounting period	xxx
Deduct: Unrelieved loss brought forward	<u>(xxx)</u>
Assessable profit	<u>xxx</u>
Less: capital allowances	
(Restricted to lower of actual allowances	
and 85% of assessable profit less 170%	
of petroleum investment allowance)	(xxx)
Chargeable profit	<u>xxx</u>
Assessable tax at 85% of chargeable profit; or	
65.75% in respect of crude sold locally; or	
40% for natural gas sold; or	

50% for PSC operators.

xxx

Less: Section 20 deductions:

Investment tax credit (applicable to PSC operators)

(xx)

Chargeable tax

xx

Deduct: MOU Credits (Joint Venture Operators only)

(xx)

PPT Payable

xx

- (1) A) The Nigerian National Petroleum Corporation (NNPC) was established by Act Number 33 of April 1, 1977, as the sole authority over the petroleum activities in Nigeria. In order to discharge this onerous task effectively, the organisation has some subsidiaries, among which is, Nigerian Petroleum Development Company (NPDC).

Your Managing Director, who is not versatile in Nigerian tax issues, has sent a memo to you, as the Assistant Manager (Tax matters), to educate him on the activities of the NPDC in the oil and gas sectors.

Required: Draft a memo in response to your Managing Director's enquiry by specifically stating FOUR areas the NPDC is engaged in the Nigerian oil and gas sectors. (4 Marks)

B. Colmas Petroleum Nigeria Limited is an oil exploration company located in the Niger Delta region of Nigeria. The company has been operating for over fifteen years. The following details have been extracted from its operations for the year ended December 31, 2018:

Sale of crude oil 1,300,000 barrels

Sale of natural gas (gross) N 720,000,000

Incidental income from petroleum operations N155, 250,000

Expenditure incurred:

Production and exploration cost N5, 180,500,000

Intangible drilling cost N655, 300,000

Salaries and wages N2, 320,250,000

Administrative expenses N1, 540,400,000

Non-productive rentals N121, 740,000

Royalties on export sales N910, 200,000

Royalties on local sales N8, 260,000

Depreciation N365, 500,000

Cost of five appraisal wells N272, 500, 0 00

Allowance for doubtful debts – General N322, 500,000

- Specific N115, 300,000

Interest paid on loans N64, 100,000

Repairs and maintenance N298, 000,000

Qualifying capital expenditure: Pipeline and storage tanks acquired on September 12, 2018, for N170, 500,000 are located in the continental shelf of 150 metres water depth.

Building constructed at a cost of N96, 000,000 on April 10, 2016, is located onshore.

The following additional information is provided on the financial statements:

The following additional information is provided on the financial statements:

Crude oil sales consists of 80% exported at posted price of US \$70 per barrel, while the remainder was sold locally at N520 per barrel; The average rate of exchange was N305 to a US \$; The sale of natural gas, with load factor of 52⁰ came from a contract entered with Agbat Limited. The fourth schedule of the Petroleum Profits Tax Act Cap P13 LFN 2004 (as amended) indicates that:

Load factor	G-factor (%)
50 ⁰	16.9
60 ⁰	15.5
70 ⁰	14.3
80 ⁰	13.6

Included in incidental income from petroleum operations was N110, 500,000 derived from ocean-going transportation business during the course of the year. The related expenses incurred of N52,250,000, was included in administrative expenses; Custom duties on storage tank of N9,600,000 was included in production and exploration cost; Included in interest paid was N17,000,000 which was paid to a subsidiary of the company. The loan was obtained at prevailing market rate; and Capital allowances agreed with the Federal Inland Revenue Service was N220, 300,000. As the newly appointed Assistant Manager (Tax matters) of the company, you have been assigned by the Manager (Tax matters), the task of producing statement of tax payable by the company.

Required: In line with provisions of Petroleum Profits Tax Act Cap P13 LFN 2004 (as amended) compute the following for the relevant assessment year:

- (i) Assessable profit (9 Marks) (ii) Chargeable profit (3 Marks) (iii) Assessable tax (1 Mark)
(iv) Chargeable tax (1 Mark) (v) Total tax payable (2 Marks) (Total 20 Marks)

(2) Skye Petroleum Plc. commenced operations over ten years ago and its accounting date is December 31, annually. The following details have been extracted from the accounting records for the year ended December 31, 2016:

- (i) Crude Oil exported - 3,500,000 barrels
(ii) Crude oil used locally - 1,200,000 barrels at N100 per barrel (iii)
Incidental income from petroleum operations -N 26,750,000
(iv) Exploration and drilling costs - N30, 000,000

(v) Management and Administration expenses -N 240,500,000

(vi) Non – Productive rents - N8, 300,000

(vii) Provision for bad debts – General - N7, 500,000

- Specific - N11, 200,000

(viii) Depreciation - N7, 250,000

(ix) Losses brought forward - N13, 200,000

(x) Qualifying Capital Expenditures are as follows: - Pipeline and Storage Tanks acquired in March 2016, located in the Continental Shelf of 190 meters water depth- N48, 000,000

Plant and Machinery acquired in June 2014, located in territorial waters of 90 metres water depth. -N63, 800, 000. Furniture and Fittings acquired in May 2013, located in territorial waters of 95 metres water depth -N21,000 ;000 .Buildings erected in April 2015, located onshore-N71,000 ,000

You were able to confirm that Management and Administration expenses comprise the following: Donations to XYZ Political Party N8, 500,000 (ii) Expenditure relating to the purchase of information relating to the existence and extent of petroleum deposits

N 4,700,000 (iii) Companies Income Tax of an associated company N5, 000,000 (IV) Interest on inter-company loans obtained under terms prevailing in the open market

N2,600,000 (v) Staff salaries 175,000,000 (vi) Royalties on export sales 6,200,000 (vii) Repairs and renewals incurred on Property, Plant and Equipment for the purpose of carrying on Petroleum operations N2,900,000 (viii) Rents paid in respect of land and buildings occupied under an Oil Prospecting Licence N3,600,000 (ix) Other administrative expenses 32,000,000

The International Market Price of Crude Oil in 2016 was USD \$75 per barrel and the exchange rate was USD \$1:N280.

You are required to compute the: a. Assessable Profit b. Chargeable Profit c. Assessable Tax d. Chargeable Tax e. Tertiary Education Tax